

Week ending 4th September 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES 24.0 Billion worth of T-bills were on offer during the week. The **91-day**,**182-day** and **364-day** T-bills recorded subscription rates of **68%, 32%** and **60%** respectively. The CBK accepted KES **2.2B**, **2.7B** and **6.0B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

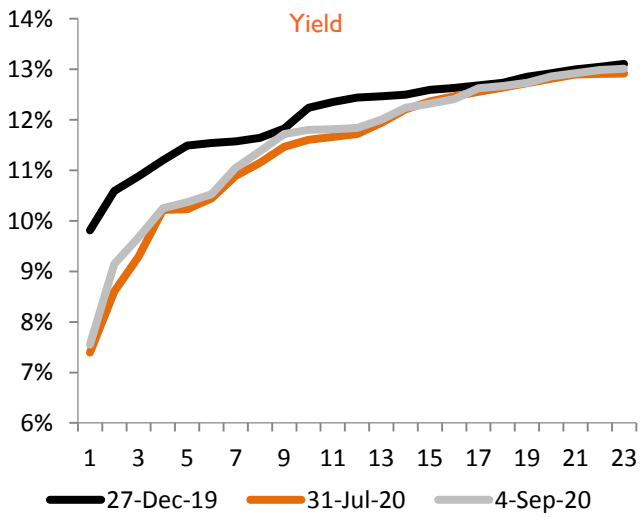
In September, Central Bank of Kenya is opening three fixed bonds **FXD2/2010/15, FXD1/2020/15 and FXD1/2011/20** in a bid to raise **50 Billion**. The coupon rates for the bonds are **9.000%, 12.756%** and **10.000%** respectively**.** The period of sale for the bonds runs from **31/08/2020** to **15/09/2020.** The bonds attract a withholding tax of **10%** each.

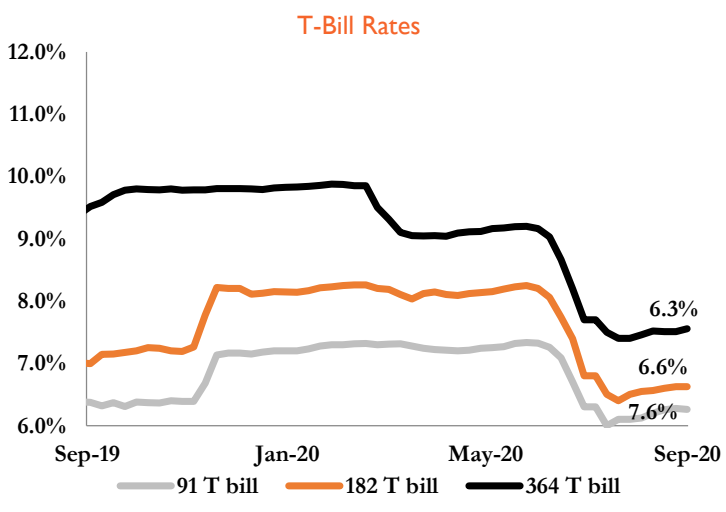
Key Indicators

	Current	Previous	% Change
91- Day	6.30%	6.26%	0.04%
182-Day	6.63%	6.60%	0.03%
364-Day	7.55%	7.51%	0.05%
Interbank Rate	2.76%	2.58%	0.18%

Macroeconomic data	Current	Previous
GDP (1Q20 vs. 1Q19)	4.9%	5.5%
Inflation (August)	4.36%	4.36%
Private sector credit growth (May)	8.1%	9.0%
Money Supply (April)	6.2%	4.9%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.10%** to stand at **108.32**.The CBK's usable forex reserves currently stand **USD 8865million** (**5.38** months of import cover) as at September 3rd a **1.09%** decrease from **USD8963million**(**5.4** months of import cover) as at August 27th

Inflation

Inflation remained at **4.36%** in August. The CPI increased by **0.20%** to **108.57** from **108.35.**

GDP growth

Growth receded to **4.9%** in 1Q20 from **5.5%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.2%** to **4.9%** year-on-year, other sectors have grown at a slower rate including manufacturing, construction and accommodation that slowed down by **0.6%, 0.8%** and **9.3%** respectively.

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email:
trading@aib-axysafrica.com

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